SwiftKart Enters Rajnagar

Comprehensive Research Synthesis for Exhibit Development

MDI Gurgaon | Sankalan CaseQuest 2026

Sources Covered

1. Zepto UDRHP-I (June 8, 2026) — 690 pages, full financial & operational disclosure
2. Chryseum QC Industry Deck — Competitive landscape, unit economics, player profiles
3. IBA/Indus Business Academy — 'Beyond Instant Delivery' (academic, Ecofluence 2024)
4. Amity University / Phoenix Journal — Comparative study: Traditional Retail vs E-com vs QC
5. KLE Tech University / AIJFR — Kirana impact study, Hubli-Dharwad (Jan 2026, n=100)
6. MITS / MIJBR — Tier-2 cities as emerging online market (North India)
7. Emkay Brokerage Report via YourStory/Outlook Business (July 9–11, 2025)
8. Actowiz Solutions / Mordor Intelligence — Tier-2 QC reshaping India 2025
9. Ecomdigest / SARC / Unicommerce / ClickPost — Tier-2 demand share (FY26)
10. Radboud University / Academic web trail — Consumer behaviour QC India

SECTION 1: INDUSTRY MACRO — QUICK COMMERCE IN INDIA

1.1 Market Size & Trajectory

Metric	FY22 / CY22	FY24 / CY24	FY25 / CY25	FY26 / CY25 (latest)	FY28 / CY30 Proj.
Channel GMV (US$/₹)	~$1.6bn (₹133bn)	$3.3bn	$5.4bn (₹963bn per Redseer DRHP)	₹64,000 Cr GOV (FY25 Makreo)	₹2L Cr (FY28E) / $60-83bn (CY30)
YoY growth	—	~73%	>75% (GMV CAGR 51.84% over 5yr)	~40% (CY25 est.)	3x from FY25 to FY28
Tier-1 share	~87%	~72%	~67%	67.33% (Mordor 2026)	~70-73% (CY30)
Tier-2/3 share	~13%	~28%	~33%	~33-38%; Tier-2 fastest growing @ 16.37% CAGR to 2031 (Mordor)	27-30% of much larger base (Redseer)
Annual Transacting Users (QC)	~5-6M	~30-40M	75-85M	47.97M (Zepto ATU alone, Mar 26)	105-115M (CY30 Redseer)
QC share of online retail GMV	~3%	~8%	~13%	~13% (now >2/3 of e-grocery orders)	26-30% by CY30

Source: Redseer Report embedded in Zepto DRHP (June 2026); Makreo Research (Aug 2025); Mordor Intelligence (Jan 2026); ClickPost / SARC / Unicommerce FY26

1.2 Non-Metro / Tier-2 Demand Explosion

- Tier-2 and Tier-3 cities contributed ~60% of India's e-commerce demand in 2023 (SARC Associates) and ~60% of incremental GMV in FY26 (Unicommerce report).
- In 2024, Tier-2/3 cities drove 60% of India's overall e-commerce growth (ClickPost, 396M orders, 1.47M orders/day average).
- Non-metro online shopper growth: 50% in Tier-3 towns vs 15% in metros (RedSeer 2018 baseline) — the divergence has only widened.
- UPI is the default payment method for 67% of non-metro consumers (Indujitechnologies 2026) — digital payment readiness is not the bottleneck.
- Tier-2/3 cities accounted for 56% of e-commerce shoppers in early 2025 (Makreo Research).
- Non-metro QC is projected to grow 25-39x from CY24 to CY30, vs 7-10x in metros (Redseer/DRHP).

KEY INSIGHT: Tier-2 India is no longer the frontier. It is the present. The question is not whether QC will reach Rajnagar — it is whether SwiftKart gets there first on sustainable terms.

Source: SARC Associates (2023); Unicommerce FY26 report; ClickPost 2024; Makreo Research (2025); Redseer via Zepto DRHP

1.3 Category Expansion Beyond Grocery

- Non-grocery share of QC GMV grew from <5% (CY22) to ~29% (CY25), projected to reach 39-44% by CY30 (Redseer/DRHP).
- Non-grocery categories growing 1.6x faster than grocery; fashion +340%, mobiles +245%, beauty +140% (Mordor/Clickpost 2025-26).
- FMCG revenue from QC channels: Nestle ~3.3% of e-commerce revenue, HUL ice cream 10%, Dabur Beverages 30-32% (as of Sept 2023 — now much higher).
- SKU expansion: platforms have grown from ~10,000 SKUs to 25,000-50,000 SKUs per dark store geography (Redseer 2025).
- Advertising revenue is a structural margin driver — Zepto grew ad revenue from ₹492M (FY24) → ₹6,512M (FY25) → ₹16,357M (FY26). Ad receipts as % of NRV: 7.78% in FY26.

Source: Chryseum deck (Redseer, Bloom Ventures); Zepto DRHP; Mordor Intelligence

SECTION 2: COMPETITIVE LANDSCAPE — PLAYER PROFILES & FY26 DATA

2.1 Key Players — FY26 Operational Data (Quarterly Peer Benchmarking from Zepto DRHP)

Player	Orders/day FY26 annual avg.	Dark Stores (Mar 26)	FY26 NRV / Revenue	Adj. EBITDA/order Q4 FY26	Model & Key Notes
Blinkit (Eternal)	2,511,233	2,243	₹377,790 Cr revenue (incl. inventory model)	**+₹1.35 (FIRST TO PROFIT)**	Inventory-led. 60%+ YoY GOV growth. Target 2,000 stores by end 2026. ~90% GMV from top 8 cities (FY24 baseline). AOV ~₹525.
Zepto	1,753,915 (FY26); 2,333,488 (Q4 FY26)	1,139 across 66 cities	NRV ₹248,155M; Revenue ₹226,236M	₹(59.40) — down from ₹(142.68) a year prior	Marketplace model. Fastest growing by order volume (119.5% CAGR FY24-FY26). Ad revenue ₹16,357M. OPD/Store 2,140

					in Q4 FY26. AOV ~₹387.
Swiggy Instamart	1,129,315	1,143	Revenue ₹38,590M (segment)	₹(76.20)	Marketplace. OPD/Store ~1,093. AOV ~₹460-700. Take rate 13.58% (FY24). Target 1,000+ dark stores.
JioMart / Reliance (hybrid)	~16L (estimated)	~800 dark + 6,000+ kirana partners	Not disclosed publicly	Claims CM-positive at ~530 OPD/store	Hybrid model. Uses existing Reliance Smart stores + dark stores. Emkay SCEPTICAL of long-term viability. WhatsApp-enabled sub-hour delivery via kiranas in Tier-2/3.
BB Now (Tata/BigBasket)	Not disclosed	350-400 (moving toward 700 target)	₹9,499 Cr total income (FY23, group)	Not disclosed	Presence in 10 metros + 25+ Tier-2 cities. 25,000+ SKUs. AOV >₹1000 post BBdaily merger. Plans for 60 large warehouses.
Amazon Now	Pilot stage (Delhi/Bengaluru mid-2026)	Expanding (slower than incumbents)	Not disclosed	Not disclosed	AOV ₹260-300, lower than peers (FMCG focus). 10-min delivery in select pincodes. Axis Capital notes slower assortment ramp. 10K EVs across 500+ cities.
Flipkart Minutes	Launched ~mid-2025	Scaling, lagging incumbents	50M unique visitors Y1	Not disclosed	Axis Capital: still lagging on assortment despite 10 months post-Bengaluru launch. Targeting Tier-2/3 via Flipkart logistics network.

Source: Zepto DRHP (June 2026); Chryseum deck (Zomato/Swiggy annual reports); YourStory/Axis Capital/Emkay (July 2025); Makreo Research (Aug 2025); Whalesbook (May 2026)

2.2 FY24 Market Share & AOV Snapshot (Chryseum Deck)

Player	Market Share (FY24)	AOV (FY24)	Take Rate
Blinkit	39%	₹614-625	18.45%
Swiggy Instamart	37%	₹460	13.58%
Zepto	20%	₹387-450	Not disclosed
BB Now / Others	4%	₹500+ (BBnow)	Not disclosed

Source: Chryseum deck (HSBC, Annual Reports, Business Standard); Zepto DRHP

SECTION 3: UNIT ECONOMICS — THE DENSITY-MARGIN ENGINE

3.1 Blinkit Unit Economics Waterfall (% of AOV)

Line Item	% of AOV	Notes
REVENUE SIDE		
Marketable commissions	11-13%	Platform commission from merchants
Advertisement income	3.5%	Growing fastest — structural margin lever
Customer fees (delivery + handling)	3.0%	Delivery fee + handling + other
TOTAL TAKE RATE	**~18%**	Blinkit benchmark
COST SIDE		
Platform discounts / incentives	0.3%	Now minimal vs early days (was 20-40%)
Dark store operation cost	3.4%	Rent, staff, ops within store
Mid-mile + warehousing cost	3.0%	Mother hub → dark store transport
Last-mile delivery cost	6.9%	Rider payouts + incentives; target <5% of AOV long-term
Packaging + wastage + comms + payment gateway	2.1%	Other variable costs
TOTAL COST	**~15.7%**	Leaves ~2.3% gross margin at Blinkit AOV ~₹525

Source: Chryseum deck citing JMF QC Report; cross-checked with Zepto DRHP cost disclosures

3.2 Industry-Wide per-Order Trajectory (Q4 FY25 → Q4 FY26)

Metric	Zepto	Instamart	Blinkit
Adj. EBITDA/order Q4 FY24	₹(74.98)	₹(61.40)	₹(5.67)
Adj. EBITDA/order Q4 FY25	₹(142.68)	₹(94.81)	₹(12.56)
Adj. EBITDA/order Q1 FY26	₹(78.35)	₹(96.97)	₹(9.17)
Adj. EBITDA/order Q2 FY26	₹(109.80)	₹(84.23)	₹(7.00)
Adj. EBITDA/order Q3 FY26	₹(78.40)	₹(85.34)	₹0.16
Adj. EBITDA/order Q4 FY26	**₹(59.40)**	**₹(76.20)**	**+₹1.35 (POSITIVE)**
OPD/Store Q4 FY26	2,140	~1,093	Not disclosed
Gross margin % NRV (Zepto)	18.77% (FY24) → 12.80% (FY25) → 18.56% (FY26)	N/A	N/A

Source: Zepto DRHP Quarterly Peer Benchmarking Tables (Figure 27a-d); all figures audited/disclosed to SEBI

3.3 Zepto's Internal Cost-Per-Order Decomposition (DRHP-Disclosed)

Cost Line	Q1 FY24 (Jun 23)	FY24 Annual	FY25 Annual	Q4 FY26 (Mar 26)
Fixed Cost / Order	₹80.72	₹71.25	₹80.19*	₹52.34
Digital Marketing Cost / Order	₹10.82	₹21.72	₹33.75*	₹1.01
Supply Chain Variable Cost / Order	₹63.03	₹63.72	₹67.22*	₹61.24
Total Cost / Order	₹156.69	₹158.55	₹185.11*	₹127.79
Adj. EBITDA / Order	**₹(95.84)**	**₹(84.64)**	**₹(136.15)***	**₹(59.40)**
Free Cash Flow / Order	₹(99.28)	₹(93.43)	₹(160.56)	₹(42.01)
Avg. Delivery Distance	2.17 km	2.05 km	1.73 km	1.83 km
OPD / Store	1,279	1,325	1,565	2,140
Dark Store Count (closing)	231	337	1,029	1,139

** FY25 worsened because Zepto front-loaded 3x store expansion (337→1,029 stores), absorbing fixed costs before density could recover. Once build-out was complete, FY26 showed dramatic improvement across all metrics.*

KEY INSIGHT: The Zepto DRHP proves that the density-to-margin relationship is real and quantifiable. Every additional order per store-day and every 0.1km reduction in delivery distance drives measurable improvements. Rajnagar must cross ~800 OPD/store (Emkay Tier-2 benchmark) — not the metro 1,300 — to reach viability.

Source: Zepto DRHP (June 8, 2026) — fully audited, SEBI-filed disclosures

SECTION 4: DARK STORE FUNDAMENTALS & TIER-2 UNIT ECONOMICS

4.1 Dark Store Physical & Financial Parameters

Parameter	Metro / Tier-1	Tier-2 (Rajnagar-type)
Standard size	2,500-4,000 sq ft (avg 3,500-4,000 per Zepto DRHP)	Same format applies (lower rent)
Upfront capex to set up	₹6-7 mn per store	₹6-7 mn per store (lower if partner-model)
Break-even density (OPD/store)	**~1,300 orders/day**	**~800 orders/day (Emkay, July 2025)**
Why lower break-even in Tier-2?	N/A	Cheaper rent + lower wages offset lower order density (Emkay 2025)
SKUs available	25,000-50,000 per store geography (Zepto DRHP)	~8,000 SKUs per Tier-2 dark store (Emkay 2025) vs ~1,000 at local kirana
Delivery radius	2-3 km (avg 1.83 km Zepto Q4 FY26)	Can serve wider radius in lighter traffic (lower density penalty)
Stabilisation timeline	6-12 months to stabilise (Swiggy investor commentary)	6-12 months; longer cash-negative runway expected (DRHP)
Mid-mile logistics	Typically managed from city-edge mother warehouse (20k-175k sqft serving 30-40 dark stores)	Higher per-order but 'manageable and don't significantly impact viability' (Emkay)
Zepto store costs (from DRHP)	Total capex FY26: ₹817.66M for 169 new stores = ~₹4.8M/store avg	IPO plans: 1,904 new stores at ₹16,289M = ~₹8.6M/store (fit-out estimate)

Source: Emkay brokerage report (July 9, 2025) via YourStory/Outlook Business; Zepto DRHP (June 2026); Chryseum deck citing industry sources

4.2 The Hybrid Model Question (Emkay's Scepticism — Important for Case)

- Emkay (July 2025) maintains a SCEPTICAL outlook on the long-term viability of the hybrid model (using retail store network to fulfil QC orders).
- Key reasons: 'significant execution challenges inherent to its design' + 'QC availability limited by store timings' (retail stores close; pure dark stores run 24/7).
- Reliance Retail explicitly plans hybrid fulfilment via its existing Reliance Digital and Trends outlets — this is SwiftKart's model.
- However, JioMart leverages 6,000+ kirana partnerships via WhatsApp for sub-hour delivery in Tier-2/3 — partial vindication of network-based approach.
- The critical distinction: SwiftKart's hybrid differs from kirana partnership (co-option model). The hybrid uses company-owned stores; the kirana model uses independent last-mile partners.

KEY INSIGHT: Emkay's caution directly challenges SwiftKart's stated advantage. The case asks participants to interrogate whether the hybrid's '530 OPD/store CM-positive' claim is genuine structural efficiency or accounting sleight-of-hand. The answer: orders spread across many stores makes the denominator large — the real test is profit per order at actual fulfilment points.

Source: Emkay brokerage note (July 9, 2025); YourStory article (July 16, 2025); Zepto DRHP Teaching Note framing

SECTION 5: TIER-2 CONSUMER BEHAVIOUR — THE PARADOX

5.1 The Core Tension: Value-Seeker vs Convenience Adopter

Multiple independent sources confirm Tier-2 consumers are fundamentally different from metro counterparts — yet demand is growing faster in Tier-2. Understanding this paradox is the intellectual heart of the case.

Consumer Trait	Evidence	Implication for SwiftKart
Value over speed	BCG: 'strong value-for-money orientation'; Whalesbook (May 2026): 'consumers in smaller cities often prioritize deals over speed'; MIJBR/Thakur: 'price-sensitive consumers will wait if waiting is cheaper'	10-minute delivery alone will NOT win Tier-2. Must offer competitive prices AND assortment advantage.
Impulse/urgent needs via QC	Indore empirical study (ResearchGate 2025, n=104): QC adopted for urgent/impulse needs; kirana/e-commerce retained for planned/large orders	QC and kirana CAN coexist in Tier-2. Co-option model viable — do not try to eliminate kiranas.
Aspirational — wants metro-quality access	BCG: 'high purchasing aspirations constrained by product availability'; Actowiz 2025: 'expecting metropolitan-like services'; RedSeer:	ASSORTMENT (8,000 SKUs vs kirana's 1,000) is the killer value prop, not just speed.

	shoppers in smaller cities grown 50% vs 15% in metros	
Digital payment-ready but cautious	93% digital payment readiness in case (Rajnagar); 67% UPI default nationally in non-metros; Indore consumers use QC but cautious about delivery charges (use minimum order to get free delivery)	Delivery fee model must be competitive. Consider zero delivery above ₹299 or equivalent to drive basket size.
High impulse buying propensity	IBA paper: 75% of online grocery buyers increased impulse purchases in last 6 months; 53% order 5+ times/month; Datum Intelligence 2024: avg order value exceeded ₹400	QC's convenience-loop creates habit even in value-conscious markets. First-mover builds the loop.
Local language + regional festival demand	Actowiz 2025: 'local languages, regional festivals, and value-conscious shopping habits add new layers of complexity'; Redseer DRHP: platforms offer geo-specific assortment	Rajnagar inventory must be localised — not a Mumbai clone. Regional SKUs matter.
Switching cost = zero between platforms	IBA paper: 'switching cost for consumers in QC is zero' — Blinkit, Zepto, Instamart all comparable in price/speed; consumers pick best deal in moment	Retention requires EDLP + wide assortment + reliability — not discounts. Discount-led entry creates churn, not loyalty.

Source: BCG; Actowiz Solutions (2025); Indore empirical study (ResearchGate 2025); Datum Intelligence (2024); IBA/Indus Business Academy paper (Ecofluence 2024); MIJBR/Thakur (2022); Whalesbook (May 2026)

5.2 The Kirana Relationship — Threat or Channel?

Stat	Finding	Source
86%	of kiranas cite QC as their top competitive threat	CPM Kirana 2025
89%	of kiranas want better trade margins and are open to partnering with a platform that offers them	CPM Kirana 2025 — the strategic crux of the case
66.4%	of kirana operators nationally view QC negatively ('unfair existential threats')	KLE Tech / AIJFR study (Jan 2026)
70%	of consumers who adopted QC reduced kirana spending by 40-50% of weekly grocery expenditure	KLE Tech / AIJFR study (Jan 2026)
46%	of QC users in Tier-2 have cut kirana spending (national consumer surveys)	Hubli-Dharwad paper (AIJFR 2026); AICPDF filings
25%	of Blinkit's inventory in Hubli-Dharwad sourced from partnered local kiranas —	KLE Tech / AIJFR study (Jan 2026)

	successful co-option model	
20-25%	increase in kirana retention when WhatsApp ordering adopted (digital adaptation)	KLE Tech / AIJFR study (Jan 2026)
35%	larger sales decline in kiranas within 2km of a dark store vs those on the outskirts	KLE Tech / AIJFR regression analysis (n=100)
₹5-8k/day	additional daily income earned by partnered kiranas fulfilling last-mile orders for Blinkit/Instamart	KLE Tech / AIJFR study (Jan 2026)
~200,000	kirana closures nationally attributed to QC discounting; Tier-1 cities: 90,000 in Mumbai/Delhi/Bengaluru; 60,000 in Tier-1 cities like Pune/Hyderabad	Business Standard (2024); AICPDF filings; KLE Tech study

KEY INSIGHT: The 86/89 split is the strategic crux: the same incumbents who feel existential threat are simultaneously the most willing to partner. SwiftKart that figures out the co-option model before a rival does gains a durable structural advantage no capital can easily replicate.

Source: CPM Kirana 2025; KLE Tech / AIJFR (Jan 2026); Business Standard (2024); AICPDF

SECTION 6: HUBLI-DHARWAD EMPIRICAL STUDY — RAJNAGAR'S NEAREST MIRROR

6.1 Study Overview

- Source: Balagi, Rukumpur, Karadi, Kallimath — KLE Technological University; published AIJFR Vol.7, Issue 1, Jan-Feb 2026.
- Methodology: Survey of 100 kirana store owners, stratified random sample from ~1,500 provision stores in Hubli-Dharwad twin city (pop. 1.2M, daily retail turnover ₹100 Cr).
- Data collected: January 6-27, 2026. OLS regression. $R^2 = 0.62$, $F = 56.4$, $p<0.001$.
- City profile: Industrial centre (BHEL, railways), university town (KLE), agriculture market — comparable to many Tier-2 cities including Rajnagar archetype.

6.2 Key Quantitative Findings

Metric	Value / Finding
Pre-disruption kirana daily revenue (mean)	₹28,400/day
Revenue loss among high-exposure stores	₹7,500-15,000/day; 42% avg decline
% of kirana owners reporting >20% sales drop	68%
% reporting footfall halved	72%
OLS: Sales Decline coefficient (β)	-0.42, $p<0.001$ → each unit increase in sales decline = 0.42pt sustainability drop

OLS: QC Exposure coefficient (β)	-0.28, p=0.002 → each unit increase in exposure = 0.28pt sustainability drop
OLS: Digital Adaptation coefficient (β)	+0.35, p<0.001 → adaptation offsets ~83% of exposure impact
Kirana margin pre-disruption	10-15%
Kirana margin post-QC entry	5-8% (national); <5% for high-exposure stores in HubliD
Proximity effect	Stores within 2km of dark store: 35% larger sales decline vs outskirts stores
Adapters (Digital score >3, n=38)	24% higher sustainability score; 15-20% footfall recovery
Blinkit/Zepto dark stores in Hubli-Dharwad by mid-2025	20-30 stores — Tier-2 entry already underway nationally
Successful co-option example	Malatesh Nagar (Dharwad) kiranas partnering informally with Instamart for last-mile; daily turnover maintained >₹30,000 vs 30% bleed for non-adapters

Source: KLE Technological University / AIJFR (January 2026); n=100, R^2=0.62

KEY INSIGHT: The Hubli-Dharwad study is the only empirically-grounded primary survey of QC's impact on a Tier-2 Tier-2 city with regression modelling. Rajnagar would likely mirror these dynamics. It shows QC IS entering Tier-2 (not hypothetical), the kirana impact is real but manageable through co-option, and the 2km proximity of dark stores is the primary competitive weapon — not citywide saturation.

SECTION 7: ZEPTO DRHP — SELECTED OPERATIONAL & FINANCIAL DATA

7.1 Zepto's Evolution at a Glance

KPI	FY24	FY25	FY26	Q4 FY26
Total Orders (Mn)	132.87	332.11	640.18	210.01
OPD (Orders/Day)	363,033	909,881	1,753,915	2,333,488
OPD / Store	1,325	1,565	1,677	2,140
Dark Stores (closing)	337 / 11 cities	1,029 / cities	1,139 / 66 cities	1,139
NRV (₹ Mn)	52,317	127,037	248,155	81,339
Revenue from Ops (₹ Mn)	44,545	111,099	226,236	74,976
Ad Revenue (₹ Mn)	492	6,512	16,357	5,430
Ad Revenue as % NRV	1.11%	6.05%	7.78%	7.88%

Annual Transacting Users (Mn)	10.57	38.38	47.97	47.97
Avg Delivery Distance (km)	2.05	1.73	1.78	1.83
Median Time to Delivery (min)	11.47	10.57	11.40	12.35
Avg SKUs / dark store geography	12,312	44,341	46,623	49,602
Adjusted EBITDA (₹ Mn)	(11,246)	(45,217)	(50,416)	(12,475)
Free Cash Flow (₹ Mn)	(12,414)	(53,325)	(43,295)	(8,822)
Closing Cash + Investments (₹ Mn)	16,883	74,408	56,805	56,805

Source: Zepto DRHP — Updated Draft Red Herring Prospectus I, June 8, 2026 (filed with SEBI). All figures audited by Manian & Rao, Chartered Accountants.

7.2 Zepto's IPO Use of Proceeds — Expansion Plans (Directly Relevant to Rajnagar)

- Fresh Issue size: Up to ₹80,100 Mn (~₹8,010 Cr). Key deployment areas:
  - ₹16,290 Mn → Capex for ~1,904 NEW dark stores in existing AND NEW geographies (avg 3,500-4,000 sq ft each)
  - ₹17,349 Mn → Lease rentals for EXISTING dark stores (FY27-FY30)
  - ₹13,248 Mn → Technology and cloud infrastructure investment
  - ₹5,200 Mn → Marketing and brand promotion (via Zepto Marketplace Pvt Ltd subsidiary)
  - Remainder → Inorganic growth / acquisitions / general corporate purposes (≤35%)
- New geographies explicitly named: Guwahati, Patna, Ranchi — Tier-2 cities without current Zepto presence.
- All new stores to be leasehold. Locations NOT yet identified (regulatory disclosure). Selection based on demographics, customer demand, lease costs.

KEY INSIGHT: Zepto is explicitly planning Tier-2 expansion with fresh IPO capital. SwiftKart's timeline in Rajnagar is therefore measured in months, not years, before a well-funded pure-play pure-play competitor arrives.

Source: Zepto DRHP, Section: Objects of the Offer (pages 143-155, as extracted from SEBI filing)

SECTION 8: FMCG DYNAMICS & KIRANA MACRO CONTEXT

8.1 FMCG Companies' Revenue from QC Channels

- Nearly 50% of Nestle's e-commerce revenue now comes from QC channels (Q3 CY23 — will be higher by 2025-26).

- 10% of HUL's ice cream sales via QC (FY23 Annual Report — category likely much higher now).
- 30-32% of Dabur Beverages revenue from QC platforms (Sept 2023 — confirms QC as mainstream FMCG channel).
- Leading QC platform GMV mix: Grocery 70% / Non-grocery 30% (Dec 2023 vs 80/20 in Dec 2022) — diversification accelerating.
- QC is driving FMCG companies to bypass traditional distributor networks — direct sourcing to reduce intermediary costs.
- FMCG backlash: Distributor bodies claim ~200,000 kirana closures; major FMCG companies pivoted back toward general trade due to price-disparity complaints (AICPDF filings 2024-25).
- BUT: 89% of kiranas want better trade margins and are open to partnering (CPM Kirana 2025) — the same FMCG companies seeking alternatives.

Source: Chryseum deck (Redseer, Bloom Ventures Indus Valley Report); CPM Kirana 2025; AICPDF filings

8.2 National Kirana Market Share Erosion Trajectory

Year	Kirana Market Share	Source	Context
2015	~98%	KLE Tech / AIJFR (derived)	Pre-QC era
2018	~95%	Multiple studies	QC nascent
2023	~92.6%	KLE Tech / Economic Times	QC scaling fast
2024 (current)	~88-90% (estimated)	Trajectory	QC mature in metros, entering Tier-2
2028 (projected)	~88.9%	Nexdigm Market Research (2025)	If QC continues current trajectory

Note: Unorganised retail nationally = ~88% (A.T. Kearney) of total retail. Within grocery specifically, kirana share was ~98% grocery and is now closer to 85-90%. The 'steady decline' model is now empirically confirmed.

Source: KLE Tech / AIJFR (Jan 2026); Nexdigm (July 2025); A.T. Kearney; AIJFR studies

SECTION 9: CONSUMER BEHAVIOUR FRAMEWORKS FOR QC

9.1 Key Academic Frameworks (IBA/Ecofluence 2024 Paper)

Impulse Buying Behaviour Model

- 74% of impulse buying driven by sales/discounts (Capital One Shopping 2024).
- 75% of digital grocery buyers reported increased unplanned purchases in 6 months (Datum Intelligence 2024).
- 46% of consumers have decreased Kirana store spend in favour of QC (Economic Times Retail 2024).

- Implication for Rajnagar: Introductory discounts will generate trial but not loyalty — the case's teaching note explicitly warns against deep discounting as entry wedge.

Technology Acceptance Model (TAM)

- Deepthi & Bansal (2023, n=277 Indian cities): perceived usefulness + perceived ease of use are the two primary adoption drivers.
- 84% of consumers made purchases based on AI-powered recommendations (Shiprocket 2024).
- Implication: SwiftKart's tech stack quality (WMS, demand forecasting, personalisation) matters as much as store network.

SERVQUAL — Service Quality Dimensions

- Reliability (consistent delivery times) > Responsiveness > Assurance > Empathy > Tangibles in QC context.
- 5% improvement in customer retention = 75% profitability increase (Reichheld principle, confirmed in QC research).
- Implication: In Tier-2, trust and reliability (kirana's historical strengths) must be matched before speed premium is captured.

9.2 The QC Ordering Cycle vs Traditional Retail

- Traditional: Need Recognition → Search → Evaluation of Alternatives → Purchase → Post-Purchase (5-step).
- QC: Immediate/impulse need → App → Order → Deliver (2-3 step, 10-15 minutes total cycle).
- 65% of QC users access platform for emergency or last-minute requirements (Redseer 2023).
- 78% of urban consumers willing to pay a premium for faster delivery (Deloitte 2022) — but this is METRO. Tier-2 is willing to pay if value is clear (not simply for speed).
- QC customer lifecycle: 2-3 product categories in Month 1 → 12+ categories by Month 12 → 18+ by Month 24 (Zepto DRHP user cohort data).

KEY INSIGHT: QC is a habit formation business. The platform that hooks Rajnagar consumers first — through reliability, wide assortment, and value pricing — will have a compounding retention advantage. This is why first-mover timing matters more than perfecting the model before entry.

Source: IBA/Indus Business Academy paper (Ecofluence 2024); Zepto DRHP user cohort data; Redseer 2023; Deloitte 2022

SECTION 10: SUSTAINABILITY OF QUICK COMMERCE

10.1 Economic Sustainability

- The growth-at-any-cost era is over. Dunzo's collapse — 'punished by the market for over-expansion without unit economics discipline' — is the defining cautionary tale.
- Zepto reported ₹37 loss per order (December 2024, per business press) — but DRHP shows Q4 FY26 adj. EBITDA/order improved to ₹(59.40) vs ₹(142.68) a year earlier. Trajectory matters.

- Blinkit became the first to turn adjusted EBITDA per order positive (+₹1.35, Q4 FY26) — proven it is achievable.
- Industry cumulative losses: >₹12,000 Cr (as stated in case). This figure is likely conservative given Zepto alone lost ₹11,246 Cr in FY24 + ₹45,217 Cr in FY25.
- The 'contribution margin positive at 530 OPD/store' hybrid claim (SwiftKart-type / JioMart): must be scrutinised. The denominator spreads orders across ALL stores including non-QC ones — not a clean metric.

10.2 Social Sustainability

- 54% of urban delivery workers experienced unsafe working conditions with tight deadlines (IIHS 2022).
- 10-minute delivery promise = direct pressure on riders. Platforms like Swiggy Instamart have introduced flexible hours and health insurance — but Fairwork India 2023 notes much more needed.
- Kirana closures: ~200,000 nationally. These represent ~15 million jobs across the unorganised sector. The 'QC as job creator' narrative (Redseer: 0.5M → 1.3-1.5M QC jobs by CY30) does not fully offset the displacement.

10.3 Environmental Sustainability

- BigBasket's EV fleet (5,458 vehicles, 2022): saved >7,000 tonnes CO_2 emissions.
- Zepto: increasing share of electric two-wheelers in delivery fleet — lower operational cost AND lower emissions.
- QC's hub-and-spoke model (fewer, shorter last-mile trips) is actually more energy-efficient per order than kirana's ad-hoc delivery or consumer trips to store.

Source: IBA/Indus Business Academy paper (Ecofluence 2024); Fairwork India 2023; BigBasket Green Report 2022; Zepto DRHP

SECTION 11: BUDGET ALLOCATION — BENCHMARKS FOR ₹120 CR DECISION

11.1 What ₹120 Crore Buys in Dark Store Terms

Investment Option	Approximate Scale	Trade-off
Pure dark store build (₹6-7 Mn capex/store)	17-20 dark stores fully owned	High capex, full control, 6-12 months to stabilise each. Needs 800 OPD/store to break even.
Partner store conversions only	40-60+ conversion points (lower capex ~₹1-2M each for retrofit)	Asset-light, fast deployment, but capped at ~2,000 SKUs and constrained by store timings.
Hybrid: 3-4 anchor dark stores + partner conversions in dense	3-4 dark stores in densest pockets + 15-20 partner	Balances assortment (dark stores), speed, cost. Mirrors

clusters	conversions	real-world JioMart/BigBasket hybrid model.
Kirana co-option (onboarding as SwiftKart sellers)	Onboard 100-200 kiranas as last-mile fulfilment partners	Zero dark store capex in those zones. Assortment limited. Trust-building takes time. Revenue share model needed.

For reference: Zepto is allocating ₹16,290 Mn (~₹1,629 Cr) for 1,904 new dark stores nationwide = ~₹8.6 Mn per store (fit-out). SwiftKart's ₹120 Cr is ~7.4% of this allocation for a single city — tight but workable for a phased, density-first approach.

Source: Chryseum deck (dark store capex); Zepto DRHP (use of proceeds); Emkay (July 2025)

11.2 The Scaling Trigger — What KPI Should Govern Expansion?

KPI Option	What it measures	Risk if used alone	Verdict
GMV / Order volume	Revenue-side growth	Dunzo's failure. Can grow GMV while destroying margins.	REJECT as sole trigger
Contribution margin per order	Whether each order pays its direct costs	Ignores fixed cost absorption. Can be CM+ but EBITDA negative.	GOOD leading indicator
OPD per store (density)	Network efficiency and viability signal	Must be interpreted against cost structure of that city tier.	BEST single operational metric
OPD/store + CM positive	Dual gate: density AND economics	Most conservative — may delay scaling unnecessarily.	RECOMMENDED combination
Trust/NPS metric	Customer loyalty and repeat rate	Hard to set threshold objectively.	Supplement — not primary gate

KEY INSIGHT: For Rajnagar: the board should hold Reddy to OPD/store ≥ 800 (Tier-2 break-even per Emkay) AND positive contribution margin in Cluster 1 before committing the remaining capex budget to Cluster 2. Growth speed is secondary to sustainable density.

Source: Emkay (July 2025); Zepto DRHP (KPI framework); case teaching note principles

SECTION 12: THE THREE DEFENSIBLE STRATEGIES — DATA GROUNDING

12.1 Strategy A: Trust-Led (Asset-Light + Kirana Co-Option)

- Operational form: Convert 15-20 existing SwiftKart partner stores in Rajnagar. Onboard 50-100 kiranas as SwiftKart sellers / last-mile partners. Zero anchor dark stores initially.

- Assortment ceiling: ~2,000 SKUs (partner store inventory) — vs dark store's 8,000. This is the strategy's biggest structural limit.
- Breakeven sensitivity: Partner-model stores at 530 OPD claim; but Emkay cautions on execution. Real breakeven depends on actual fulfilment points.
- Best for: Proving demand before committing capex. Matching JioMart's Tier-2 approach. Avoiding the 6-12 month cash-negative runway of dark stores.
- Risk: Rival with dark stores wins on assortment and speed. Cannot serve the premium end of Rajnagar's consuming class.

12.2 Strategy B: Experience-Led (3-4 Anchor Dark Stores + Dense Cluster First)

- Operational form: Open 3-4 dark stores in Rajnagar's 2 densest residential clusters. Target 800 OPD/store within 6-9 months. No partner-store conversions initially.
- Investment: ~₹25-35 Cr in dark store capex + 6-9 months lease burn before each store is viable.
- Assortment advantage: 8,000 SKUs vs kirana's 1,000 — the primary value trigger for Tier-2 aspirational consumer.
- Risk: 6-12 months cash-negative per store; needs sustained funding; requires high local demand in chosen clusters.
- When it works: Emkay confirms Tier-2 dark stores CAN reach 800 OPD breakeven. Rajnagar's 9.2L population and ₹6,800/month grocery spend per household means sufficient demand in dense clusters.

12.3 Strategy C: Hybrid (Anchor Dark Stores + Partner Conversions)

- Operational form: 2 dark stores in densest clusters + 10-15 partner store conversions across wider city. Kirana co-option for coverage beyond dark store radius.
- This mirrors what BB Now and JioMart actually run. It is the real-world middle.
- Strength: Balances capex efficiency, assortment quality, and city coverage. Dark stores handle premium/assortment demand; partner stores handle convenience top-ups.
- Emkay's caution: Hybrid model has 'execution challenges' and QC availability is 'limited by store timings.' SwiftKart needs SOPs to ensure partner stores run QC hours regardless of retail hours.
- Teaching note verdict: Students must justify the store split with actual demand-density data from Rajnagar — not generic hedging.

Source: Zepto DRHP; Emkay (July 2025); KLE Tech / AIJFR; Chryseum deck; case teaching note

---

SECTION 13: MASTER QUICK REFERENCE — KEY NUMBERS

This section consolidates the most important figures across all sources for rapid exhibit reference.

Data Point	Value	Source
MARKET SIZE & SCALE		

India QC GMV CY2025	₹963 Bn (~$11.3 Bn)	Redseer / Zepto DRHP
India QC GOV FY25	₹64,000 Cr	Makreo Research (Aug 2025)
India QC GOV FY28 (projection)	₹2 lakh Cr (3x FY25)	Makreo Research
QC CY2030 projection	₹5.1-7.1 Tn (~$60-83 Bn)	Redseer / Zepto DRHP
Tier-2 share FY2025	~33%; growing fastest at 16.37% CAGR to 2031	Mordor Intelligence 2026
Tier-2 / Tier-3 e-commerce demand share	60% of India's e-commerce GMV (FY26)	Unicommerce / SARC / ClickPost
UNIT ECONOMICS		
Metro dark store breakeven	~1,300 OPD/store	Zepto DRHP; Bernstein
Tier-2 dark store breakeven	~800 OPD/store	Emkay brokerage (July 2025)
Why lower Tier-2 breakeven?	Lower rent + wages offset lower order density	Emkay (July 2025)
Blinkit take rate	~18.45% (FY24)	Chryseum / Zomato Annual Report
Blinkit Adj. EBITDA/order Q4 FY26	+₹1.35 (POSITIVE — industry first)	Zepto DRHP peer benchmarking
Zepto Adj. EBITDA/order Q4 FY26	₹(59.40) — improved from ₹(142.68) Q4 FY25	Zepto DRHP
Instamart Adj. EBITDA/order Q4 FY26	₹(76.20)	Zepto DRHP peer benchmarking
Gross margin QC dark store (approx.)	₹50-70 per order (industry range)	Zepto DRHP; JMF QC Report
AOV — Blinkit Q4 FY26	~₹525	Zepto DRHP; Chryseum
AOV — Zepto Q4 FY26	~₹387 (NRV ÷ orders)	Zepto DRHP
AOV — India hyperlocal FY24 avg	₹546 (Makreo Research)	Makreo Research (Aug 2025)
Dark store upfront capex	₹6-7 Mn per store (industry); ₹4.8-8.6 Mn (Zepto range)	Chryseum; Zepto DRHP
SKUs — Tier-2 dark store	~8,000 (vs kirana's ~1,000)	Emkay (July 2025)
SKUs — Zepto platform (store geography)	46,623 avg FY26; 49,602 Q4 FY26	Zepto DRHP
CONSUMER BEHAVIOUR		

Urban consumers willing to pay premium for faster delivery	78%	Deloitte 2022
QC users accessing for emergency/last-minute needs	65%	Redseer 2023
Online grocery buyers with increased impulse purchases	75% in 6 months	Datum Intelligence 2024
QC users ordering 5+ times/month	53%	Datum Intelligence 2024
Tier-2 consumers: use QC for urgent/impulse	Yes; retain kirana for planned/large orders	Indore empirical study (2025)
KIRANA DYNAMICS		
Kirana market share CY2023	~92.6%	KLE Tech / AIJFR
Kirana market share projected 2028	~88.9%	Nexdigm (July 2025)
National kirana closures (post-QC)	~200,000	Business Standard 2024; AICPDF
Kirana open to partnering (want better margins)	89%	CPM Kirana 2025
Kirana citing QC as top threat	86%	CPM Kirana 2025
Kirana sales decline within 2km of dark store	35% larger than outskirts	KLE Tech / AIJFR regression
Kirana margin post-disruption	5-8% (compressed from 10-15%)	KLE Tech / AIJFR
Partnered kiranas: supplemental daily income	₹5,000-8,000/day additional	KLE Tech / AIJFR

Source: Compiled from: Zepto DRHP (June 2026); Emkay brokerage (July 2025); Makreo Research (Aug 2025); Mordor Intelligence (2026); CPM Kirana 2025; KLE Tech / AIJFR (Jan 2026); Redseer via DRHP; Chryseum; Datum Intelligence 2024

APPENDIX: SOURCES & CREDIBILITY ASSESSMENT

Source	Type / Date	Credibility & Relevance
Zepto UDRHP-I (Jun 8, 2026)	SEBI filing	HIGHEST credibility. Audited financials filed with SEBI. 690 pages. Primary source for all Zepto, Blinkit, Instamart quarterly data.
Emkay brokerage report (Jul 9, 2025)	Institutional research	HIGH. Brokerage note covering listed companies. The '800 OPD/store Tier-2 breakeven' and '8,000 SKUs' figures are its key contribution.
Redseer Report (May 2026 — embedded in Zepto DRHP)	Commissioned research	HIGH. Paid by Zepto but methodology disclosed. Best-in-class QC market data. DRHP requires disclosure of any omissions.
Mordor Intelligence QC Report (Jan 2026)	Market research	HIGH. Premium research firm. 16.37% Tier-2 CAGR figure is their primary contribution.

KLE Tech / AIJFR Hubli-Dharwad Study (Jan 2026)	Academic primary research	HIGH. Only primary survey (n=100) of QC impact on a specific Tier-2 city. OLS regression R^2=0.62. Partial synthetic dataset (limitation disclosed).
Makreo Research (Aug 2025)	Market research	MEDIUM-HIGH. Specialises in hyperlocal. ₹64,000 Cr FY25 GOV and ₹2L Cr FY28 projection are their key figures.
Chryseum QC Industry Deck	Investment research deck	MEDIUM-HIGH. Aggregates HSBC, Annual Reports, JMF QC Report, Zomato/Swiggy filings. Good for FY24 competitive snapshot and Blinkit unit economics waterfall.
IBA / Ecofluence 2024 Paper	Peer-reviewed academic	HIGH for frameworks (TAM, SERVQUAL, Impulse Buying). MEDIUM for specific statistics (some rely on trade press).
CPM Kirana 2025	Trade survey	HIGH for kirana sentiment. The 86%/89% pairing is the case's own sourced figure — consistent with academic studies.
SARC Associates / Unicommerce / ClickPost (FY26)	Analytics / logistics firms	MEDIUM-HIGH. Logistics firms have direct order data. '60% of e-commerce demand from Tier-2/3' figure is cross-confirmed by three separate sources.
Actowiz Solutions (2025)	Data intelligence firm	MEDIUM. Useful for Tier-2 QC narrative and consumer behaviour, cross-confirmed by other sources.
Indore empirical study (ResearchGate 2025, n=104)	Academic primary research	MEDIUM-HIGH. Small sample, single city. Key finding (QC for impulse, kirana for planned) is consistent with IBA paper and BCG.

END OF RESEARCH SYNTHESIS — MDI GURGAON SANKALAN CASEQUEST 2026